

Software Apocalypse?

Taking stock of AI threat for software

Equities Software

United States

- ◆ We reviewed hard evidence of AI disrupting the software sector and see no signs of material AI disruption
- ◆ Market is likely overestimating the productivity boost from AI tools, which is leading it to overestimate AI risk to software
- ◆ We maintain Buy on major software names that have sold off on what we consider are unwarranted fears of AI disruption

No signs of a software apocalypse yet: We maintain our view that AI is unlikely to replace software as explained in: [Can AI replace software?](#) (9 Feb 2026) and [Software is already eating AI](#) (26 Feb 2026).

Software revenue growth remained strong in 1Q26 (median 12.7% y-o-y constant currency). Current remaining performance obligations also posted strong double-digit growth. Multiple software companies (e.g. SAP, Salesforce, and ServiceNow) provided multiyear guidance and are generally guiding to continuation of strong growth for several years. There are no signs of pricing pressure in the sector. Most software companies reported increased non-GAAP operating margin in 1Q26 and are guiding to further margin expansion.

Software companies are generally downplaying concerns about AI disrupting their business and are buying back shares aggressively. If we leave aside outliers, total share buybacks by major software companies are up more than 3x since 2023-24.

AI impact on employee productivity low single-digit currently: AI-driven cost savings identified by software companies are at about 5-7.5% of their existing cost base. We estimate AI coding tools have boosted productivity at IT services and software companies by 100-500bp, at best. As the productivity boost is modest, there is nothing to suggest that one could replace existing enterprise software applications cheaply by fresh vibe-coded systems as the market seems to be dreading.

Enterprise software stocks oversold: Software shares have de-rated significantly over the last 12 months on concerns that AI will disrupt their business. If we use consensus estimates, major software shares are trading at c50% lower P/NTM non-GAAP EPS than their 24-month averages. As explained above, we consider these concerns unwarranted.

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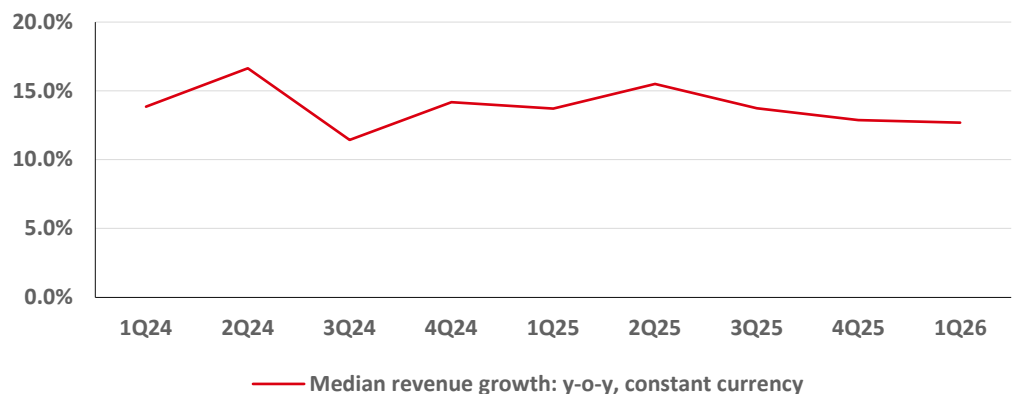
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Software revenue and guidance remain strong

We have reviewed results, guidance, comments, and other actions of software companies in the last few months to review our stance on the software apocalypse debate.

- ◆ Software revenue growth remained strong in 1Q26 (median 12.7% y-o-y constant currency).
- ◆ Current remaining performance obligations growth remained strong. Adobe (13.1%), Salesforce (13.5%), ServiceNow (22.7%), and Workday (15.4%) reported robust y-o-y growth in cRPO in the last reported quarter. SAP's current cloud backlog rose 25% y-o-y cc in 1Q26.
- ◆ Total remaining performance obligations growth also remained strong. Adobe (13.1%), Salesforce (11.5%), ServiceNow (25.3%), and Workday (10.9%) reported robust y-o-y growth in RPO in the last reported quarter. Workday's growth of 10.9% was, however, materially less than 20% y-o-y growth it reported during 2024 and 9M25. Management attributed it to a higher portion of RPO coming from renewals, which tend to have shorter duration than new contracts. Oracle's (362% y-o-y to USD638bn in 2QCY26) and Microsoft's (97.2% y-o-y to USD633bn in 1QCY26) RPO growth rates were off the charts but were driven largely by cloud infrastructure and not software. Oracle and Microsoft do not report separate RPO for software segment.
- ◆ SAP, ServiceNow, Salesforce, and Oracle have issued/maintained multi-year revenue growth guidance in the last two months. All of them are guiding to continued double-digit revenue growth for several years. SAP, Salesforce, and Oracle are guiding to revenue acceleration, although Oracle's acceleration is largely due to cloud infrastructure segment and not due to software. ServiceNow has guided to an 18.4% revenue CAGR over FY26-30e. If a software apocalypse is in the works, we do not see signs of concerns coming from the largest enterprise software companies on the planet (and their customers responsible for RPO).

Constant currency revenue growth for software sector has remained strong



Source: Company data, HSBC

Software companies have maintained/issued strong short-term and long-term guidance

Revenue growth	Last FY actual	Current FY guidance [#]	Long-term guidance	Long-term CAGR	LT guidance issued on
Adobe	10.5% y-o-y	11.7% y-o-y	NA	NA	NA
Autodesk	12% y-o-y, cc, adj [*]	9.5% y-o-y, cc, adj [*]	NA	NA	NA
Salesforce	8% y-o-y cc, organic	7.5% y-o-y cc, organic	FY26-30e	10.98%	May-26
Intuit	15.6% y-o-y	13.5% y-o-y	NA	NA	NA
ServiceNow	20.5% y-o-y, cc	19.5% y-o-y cc, organic	2025-30e	18.40%***	May-26
Oracle**	17.4% y-o-y	33.6% y-o-y	FY26-30e	31.00%	Jun-26
SAP	11.3% y-o-y cc	11.3% y-o-y cc	2025-27e	>11.3% cc	May-26

Source: Company data, HSBC. ^{*}Adjusted for new transaction model. ^{**}Most growth driven by cloud infra and not software. [†]Software companies typically beat guidance, so current FY guidance being slight below last FY actual does not really suggest a slowdown. ^{***}20% aspirational target hinted at during the last results briefing.

Companies reporting low churn

Most software companies continued to report low churn.

- ◆ ServiceNow reported 1QCY26 renewal rate of 97%, not far from 97.75% average over the previous four quarters.
- ◆ Autodesk reported net revenue retention rate of “more than 110%”, which was helped by the impact of the new transaction model (we estimate low single-digit percentage). The company continues to expect NRR to settle at 100-110% as the impact of the new transaction model recedes. NRR above 100% suggests continued revenue growth at existing customers.
- ◆ Salesforce has reported an attrition rate of about 8% for the last several quarters including in 4QCY25. The company did not report attrition in 1QCY26 but called it “very little”.
- ◆ SAP described its churn in 4QCY25 as “low”. SAP has historically talked about an annual churn of about 3%.
- ◆ Other major software companies in our coverage universe do not report churn regularly

No signs of pricing pressure

There are also no signs of pricing pressure in the sector. In absence of better information, we are using non-GAAP operating margin as a proxy for pricing. Most software companies reported increased non-GAAP operating margin and are guiding to further margin expansion.

- ◆ SAP non-GAAP operating margin was up 276bp y-o-y in 1Q26. The company continues to expect that its operating expense growth over 2026-27 would be 80-90% of revenue growth, resulting in improving operating margins.
- ◆ ServiceNow non-GAAP operating margin expanded 94bp y-o-y to 31.8% in 1QCY26. CY26 non-GAAP operating margin guidance stood at 31.5% (FY25: 31.2%) despite 75bp adverse impact of Armis acquisition in CY26. The company guided to a further 100bp non-GAAP operating margin and FCF margin expansion in 2027e.
- ◆ Salesforce non-GAAP operating margin rose 253bp y-o-y to 34.8% in 1QCY26. Margin guidance of 34.3% in FY27 ending Jan 2027 (FY26: 34.1%) suggests more gradual progress after c15ppt of expansion since FY22.
- ◆ Microsoft non-GAAP operating margin rose 66bp y-o-y to 46.3% in 1QCY26 despite likely adverse impact of rising share of Azure cloud infrastructure in the mix.
- ◆ Oracle non-GAAP operating margin rose 54bp y-o-y to 44.8% despite likely adverse impact of rising share of Oracle cloud infrastructure in the mix.

Mixed narrative, but the talk is cheap

Company comments on AI disruption and opportunities

Company	Comment
Oracle	Co-CEO on software apocalypse: As far as impact of SaaS apocalypse, I would say maybe a couple quarters ago, there were some delayed decision cycles out there as customers thought through that. But really, particularly in the mission-critical systems space, which is where we play at Oracle, people have quickly moved on to that and realized that enterprise software, particularly when you have AI built into our SaaS solutions, is certainly a very good approach and is necessary to move forward for the modernization and protection of their businesses. So, I expect that our Applications business will continue to be a healthy contributor to Oracle as it has been.
Autodesk	CEO on Autodesk's right to win in an AI-driven world: This combination of probabilistic AI generation and deterministic engineering validation is why we said last quarter that 3D agentic AI requires high-fidelity, geometry-rich data, deep industry context embedded in real-world Design and Make processes, and specialized 3D AI expertise. Few companies have all these. Autodesk does. It's why we believe Autodesk will define the next generation of industrial AI.
Salesforce	Chief marketing office on how AgentForce adds value to pure AI solutions: If you start building an agent, you get very excited early on because you're like, all I have to do is write human instructions like I've coded my agent. But what you realize when you're starting to try to get agents to do multi-step and complex workflows is you have a lot of like do this, but unless this happens, then do this. And you start writing it like that. And the agent gets very, very, very confused, very, very quickly. And the irony of like programming languages is that's effectively what they are, if this and then that, types of flows. And so, we pioneered this way to kind of put little micro moments of scripting into the prompts so that you could eliminate some of the probabilistic problems of working with an LLM. You've all seen this, you ask it a question and then you ask it the same question, and you get two different answers. So, it's a probabilistic, non-deterministic system. When you're trying to execute workflows, you don't want that, you want deterministic. You want to do it the way I've asked you to do it, every single time.
ServiceNow	CFO on whether AI will cannibalize software budgets: 1) AI savings aren't coming from IT budgets, they are coming from the labor pool. 2) If you're able to reduce labor by 65%, you can increase technology by a whole hell of a lot and still be driving significant value for our customers.
Palantir	CTO on why legacy software is dead: AIP replaces static workflows not by replicating the playbook, but by eliminating the need for one. Thomas Cavanagh Construction, 97% of their employees use Foundry every day. And every other piece of software must now justify its existence, and so far, they haven't been able to. We're seeing this internally too. This quarter, we replaced our old expensive CRM with an AI first solution built on AIP in a few months that users absolutely love.
SAP	CTO on killer AI use case: Killer AI use cases are in the world of unstructured data: document AI. It's a service that basically, instead of people keying in the information into an SAP system coming from an invoice or purchase order or bill of lading, we are now processing this all with Document AI. We have processed 750 million documents in 2025 alone. CEO on how SAP is optimizing token costs paid to LLMs: The good piece is we have built into our agent builder a model where we can say we can switch from one model to another. We are not only doing a switch, we can also have a logic in there where we route the prompts to the model who has the best price-outcome ratio. CEO on using AI instead of programming to offer new features: You see that more and more work is now also shifting from the system of record into the agentic AI layer. The good piece is, we're having native access to the system of record. What I just shared with you can decide what the agents are allowed to do in the system of record. More and more is shifting now in the Autonomous Suite to the agentic AI layer. While we coded, in the past, a lot of features, now we are shifting towards coding agents and skills. There are still a lot of complex business scenarios where a customer says, "I don't want to have an agent for that. I just want to see that a system of record does this out of the box." You see this is more and more shifting. With that, also our development capacity is more and more shifting. We are doing this, of course, in close cooperation with our customers, who also are very good indicator on how much do we put into the AI layer and how much do we still code features in the system of record. CEO on who will get disrupted by AI: Now you can say maybe in certain parts of the software world, for some niche players, you could say, "Okay, the LLM can do the job." When I look at our portfolio, definitely I don't see that now for the 95% of parts of our portfolio that you can just say, "Oh, it's so easy now. Let's just use an LLM, and the LLM does the job." No. I'm not seeing that this will go away. I rather see that we will sell a lot of agents. Of course, we will always lead now with AI, but with that comes the system of record. An agent doesn't work without a system of record.

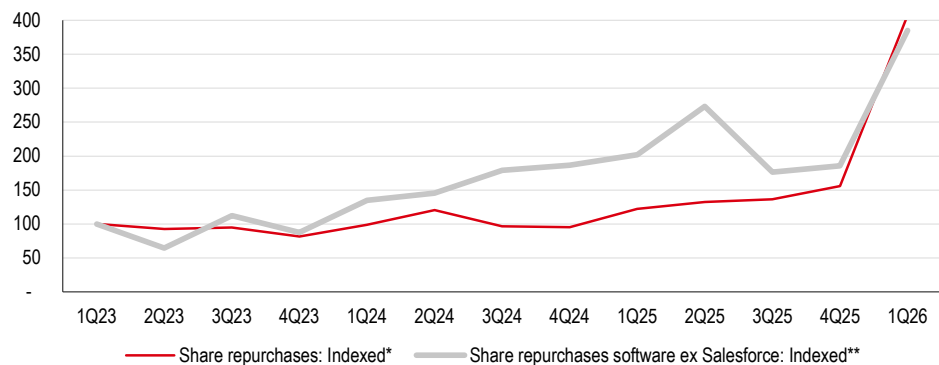
Source: Company data, AlphaSense, HSBC

Software companies putting their money where the mouth is

As can be seen above, software companies have downplayed the idea of AI replacing them. On the other hand, Palantir, which is more of a data and AI platform, has heralded the "death of legacy software".

We note, however, software companies are putting their money where their mouth is by buying back their shares aggressively. Salesforce has been the most aggressive and bought back USD27bn worth of shares in the last reported quarter. In comparison, we have not seen software companies that also have significant exposure to cloud infrastructure capex (Oracle and Microsoft) increase their share buybacks. If we exclude Salesforce, Oracle, and Microsoft, the total amount of share buybacks by major software companies are up by more than 3x since the level in 2023-24.

Software companies have accelerated share buybacks



Source: Company data, HSBC *Oracle, Adobe, Autodesk, Salesforce, Intuit, Microsoft, ServiceNow **Adobe, Autodesk, Intuit, ServiceNow, SAP

We do not expect AI to replace software

We estimate AI coding tools have boosted productivity at IT services and software companies by 100-500bp, at best. There is nothing to suggest that one could replace existing enterprise software applications cheaply by fresh vibe-coded systems

We maintain our view that AI is unlikely to replace software as explained in our notes [Can AI replace software?](#) (9 Feb 2026) and [Software is already eating AI](#) (26 Feb 2026). In this note, we primarily review our assumptions and premises behind our conclusion.

Productivity boost from vibe coding is often overestimated

Many of us have used AI tools to make simple programs and have come away amazed at how quickly it is able to come up with programs that would have taken us days manually (two of the authors of the report were previously professional programmers). Many investors, in our opinion, are making the mistake of extrapolating these superlative productivity gains into large enterprise software applications. As the system that you are trying to vibe code becomes larger, your ability to describe it accurately in plain English deteriorates. If you feed incorrect or incomplete description to AI coding tools, they will generate a wrong program. Even if you provide a perfect description, LLMs are still prone to hallucinate and make occasional mistakes. Talking to some of the programmers, we get a sense that AI code generators are dramatically increasing the speed of writing code. But they make subtle mistakes and human employees are forced to spend inordinate amounts of time trying to catch the mistakes largely offsetting the benefit from quickly written code.

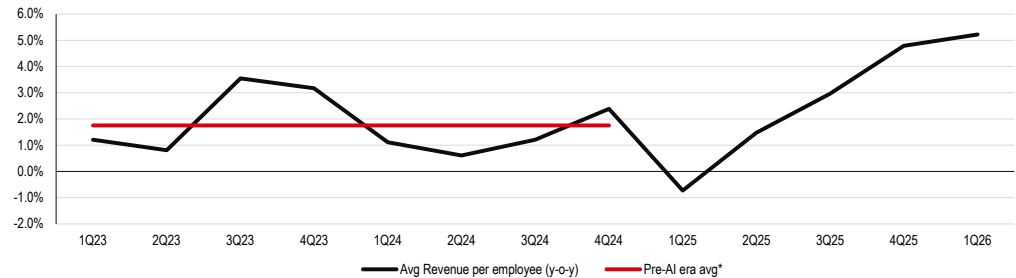
IT services productivity gain

We estimate IT sector productivity may have been boosted by at best 100-200bp due to the adoption of AI tools. We are using revenue per employee as one measure of productivity. Over 2023-24 (before AI coding tools became ubiquitous), revenue per employee for major IT service companies rose by c2% p.a. We have seen revenue per employee rise by c5% y-o-y in 1Q26 and 2Q26. For example:

- ◆ **Accenture's** 2QCY26 annualized revenue per employee of USD102K is up 4.3% y-o-y. Three-year revenue per employee CAGR is only 0.8% as revenue per employee dipped in 2024 before rising in 2026 and 1H26. Total number of employees rose by 1% y-o-y to 799K in 2QCY26 and utilization rose by 1ppt y-o-y to 93%.
- ◆ **Infosys's** 1QCY26 annualized revenue per employee of USD74K was up by 4.4% y-o-y. Three-year revenue per employee CAGR is only 2.5%. Total number of employees rose 4.2% y-o-y to 337k in 1QCY26 albeit utilization dipped 2ppt y-o-y to 80%.

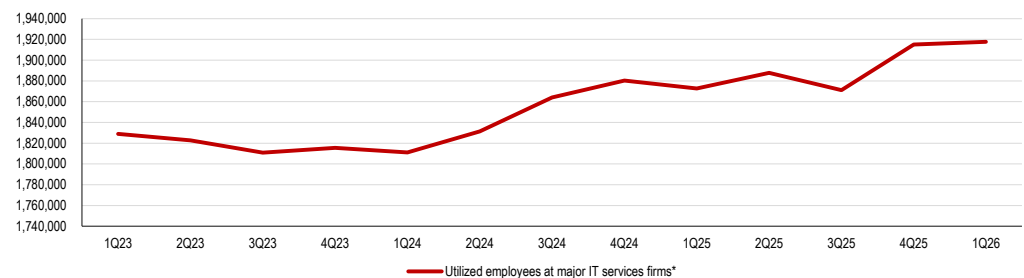
We see no tangible metric that would indicate that a typical IT service employee is seeing any dramatic improvement in productivity. Revenue per employee is rising barely above inflation while changes in number of employees or their utilization is unremarkable.

AI may have added 100-200bp to IT services sector productivity growth



Source: Company data, HSBC estimates *2023-24 as AI coding tools were not prevalent at that time

Number of utilized employees at major IT services firms*



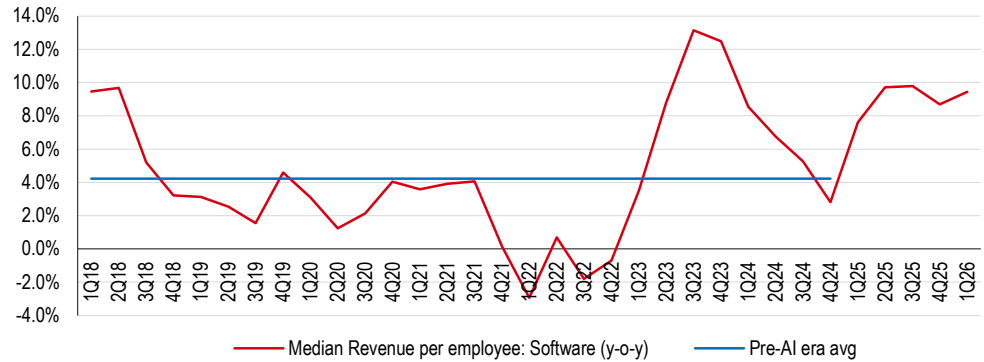
Source: Company data, HSBC *Employees (excluding those who are on bench/unutilized) at Accenture, TCS, Infosys and CapGemini as a proxy for the entire sector

Software productivity gain

We estimate AI tools may have boosted software sector productivity growth by up to c500bp. Over 2018-24 (before large scale adoption of AI coding tools), software companies saw their revenue per employee rise at a CAGR of about 4.2% while the broader technology sector saw its revenue per employee rise at a CAGR of about 4.3%. Revenue per employee for software companies rose by c9% y-o-y in the last few quarters. Broader technology sector revenue per employee rose by 10-13% y-o-y as the growth was dominated by cloud infrastructure, social media, and search sectors, which are much less employee-intensive.

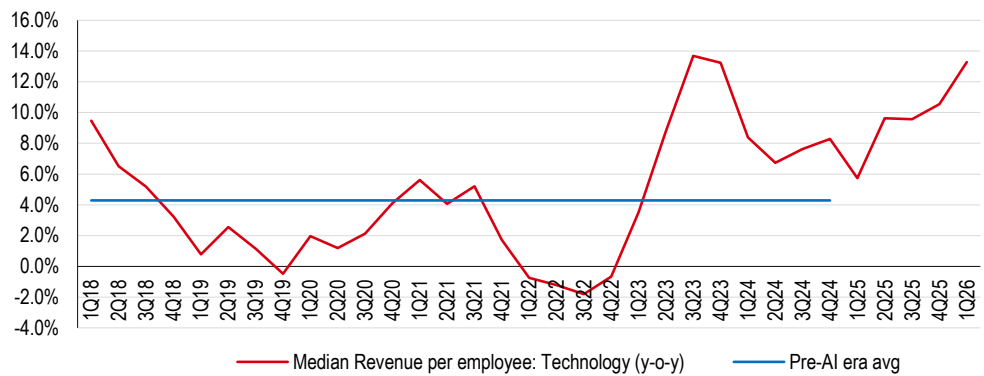
Revenue per employee is an imperfect measure of productivity, especially in the software sector due to high operating leverage. Revenue per employee dipped during 2019 and 2022 due to broader slowdown in growth and not because of any reduction in productivity. Likewise, some of the recent boost may be cyclical as opposed to true increase in productivity (or in other words, we may be overestimating AI's impact on productivity). Unfortunately, we do not have access to data on (say) features developed per programmer to truly assess the productivity boost.

AI may have added 100-500bp to Software sector productivity growth



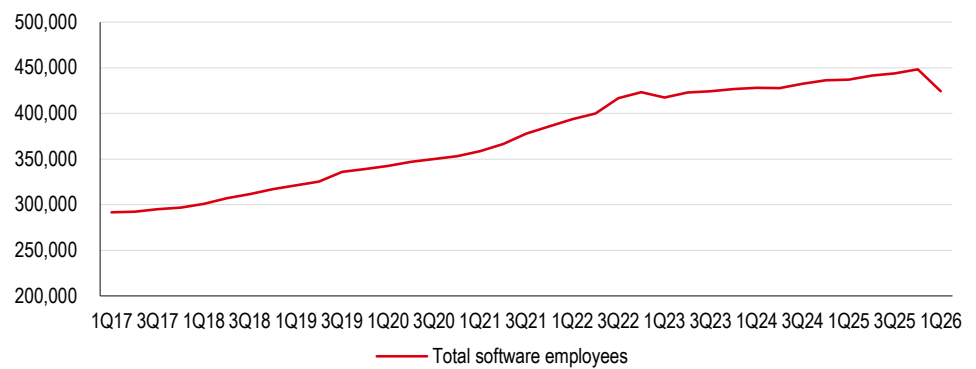
Source: Company data, HSBC estimates

Revenue per employee for the broader technology sector



Source: Company data, HSBC estimates

Total number of employees at major software companies*



Source: Company data, HSBC *Oracle, Adobe, Intuit, Salesforce, ServiceNow, SAP. Leaving Microsoft, et al as latest data not available

So what?

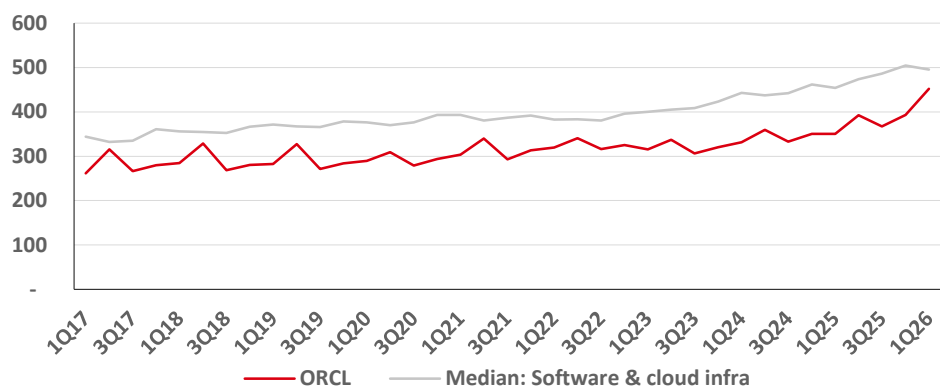
If a challenger tried to replicate (say) SAP using a new vibe coded system, he/she may be able to develop an alternative SAP that could be 1-5% cheaper (reflecting 100-500bp improvement in productivity estimated above) than what it cost the original SAP to build itself. But considering heavy costs of replacing an existing ERP vendor and hardly 3% per annum churn, it is far from clear that the challenger will have a winning cost advantage.

Software incumbents have significant advantages including users' familiarization with the system GUI, interoperability with other tools, favourable network externalities including availability of experienced support staff, and bug reduction that comes after decades of being used by thousands of enterprise customers. A challenger needs a lot more than a slight cost advantage to replace the incumbents.

What about Oracle job cuts?

Oracle slashed its workforce to 141,000 in 2QCY26 from 162,000 in 2QCY25. However, we note Oracle had significantly lower revenue per employee than peers and may have "cut the flab".

Annualized revenue per employee (USD '000): Oracle vs peers



Source: Company data, HSBC estimates

What have software companies said about AI-driven productivity gains

- ◆ SAP expects to cut its costs by EUR2bn by 2028, which is 7.6% of SAP's 2025 non-GAAP operating costs.
- ◆ ServiceNow expects AI to cut its costs by USD500m over 2025-26, of which USD300m could flow to the bottom-line while the rest will likely be reinvested into the business. USD500m is c5.5% of ServiceNow's CY25 non-GAAP operating costs.

Is there a counter point as well?

There are several anecdotes of sharply improving productivity even though these are not apparent from overall numbers. As cost-cutting guidance from these same companies are more muted (as shown in the above section), we have treated these anecdotes as not indicative of the overall situation. We also note that R&D is only about 10-20% of revenue (15-35% of costs) for major software companies and programming is only part of the total R&D costs. Therefore, sharply increased programmer productivity does not necessarily mean sharply higher companywide productivity. A challenger to incumbent software companies will need to spend money not just on programming but also on designing, testing, and marketing the software system.

- ◆ Salesforce mentioned in 1QCY26 that AI coding tools enabled it to double the features and code shipped y-o-y, while simultaneously reducing incidents and defects.
- ◆ SAP CEO said in a recent conference call: “We will also set up our development teams. It's not anymore these teams of 10. It will be teams of five, more agile. You prototype an idea with vibe coding with one or two days, then you turn around because the validation brought you some insights which you need to consider. Then you go into the automation side where we can automate a lot on code generation, agent development, testing, et cetera.”
- ◆ Oracle said in 1QCY26 earnings conference call: “The use of AI coding tools inside Oracle is enabling smaller engineering teams to deliver more complete solutions to our customers more quickly. We are building brand-new SaaS products using AI and also embedding AI agents right into our existing application suites. By embracing AI with small engineering teams, we have just built three brand new CX applications; lead generation and qualification, sales orchestration and automated selling, and our new website generator.”

Comparative valuation

Comparative valuation treating share-based compensation as real expense

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR 26-28e	PEG 26e
					CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e		
Oracle	ORCL US	Buy	165.16	316.00	31.5	28.8	22.9	16.3	26.5	21.8	17.6	13.7	33.1%	0.87
Autodesk	ADSK US	Buy	188.78	357.00	35.5	27.9	20.6	18.4	21.0	15.7	13.0	11.0	23.2%	1.21
Salesforce	CRM US	Buy	153.42	356.00	15.8	14.1	12.8	11.0	14.2	12.9	10.6	8.9	13.5%	1.05
Fair Isaac	FICO US	Reduce	1,099.41	707.00	41.5	25.2	24.6	25.0	30.0	18.9	18.7	19.2	0.4%	64.40
HP	HPQ US	Buy	23.67	29.60	7.4	7.1	6.8	6.2	7.0	6.7	6.4	5.9	7.5%	0.95
IBM	IBM US	Hold	264.94	231.00	22.9	21.5	20.3	18.1	21.1	19.4	17.9	15.7	9.0%	2.38
Intuit	INTU US	Buy	258.05	707.00	15.7	13.3	10.9	9.6	12.3	9.6	7.4	5.7	17.4%	0.76
Microsoft	MSFT US	Buy	373.94	571.00	24.2	19.9	16.6	13.9	19.2	16.3	13.5	11.3	19.9%	1.00
ServiceNow	NOW US	Buy	95.94	177.00	NA	40.4	31.4	23.4	41.9	32.2	24.0	16.9	31.5%	1.28
Palantir	PLTR US	Hold	116.70	151.00	243.1	101.3	67.1	57.2	186.1	77.9	50.1	42.5	33.1%	3.06
SAP (EUR)	SAP GR	Buy	134.52	185.00	22.0	19.1	16.3	14.4	14.8	13.3	11.1	9.6	15.0%	1.27
Snowflake	SNOW US	Buy	230.41	289.00	-68.9	-88.5	-119.9	-146.5	-72.0	-76.1	-95.6	-115.4	NA	NA
TE Connectivity	TEL US	Hold	203.05	234.00	21.3	17.8	15.9	14.2	17.6	14.4	12.6	13.9	11.9%	1.50
Median					22.9	19.9	16.6	14.4	19.2	15.7	13.0	11.0	18.6%	1.13

Source: LSEG Datastream, company data, HSBC estimates *Priced on 23 June 2026

Software shares have de-rated significantly over the last 12 months on concerns that AI will disrupt their business. If we use consensus estimates, major software shares are trading at c52% lower P/NTM non-GAAP EPS vs the 24-month average. As explained above, we consider these concerns unwarranted.

Software shares have derated significantly

P/NTM consensus EPS	28-Jun-24	30-Sep-24	30-Dec-24	31-Mar-25	30-Jun-25	30-Sep-25	30-Dec-25	24M Avg	23-Jun-26	Spot vs 18M Avg
SAP	35.7	36.2	38.4	37.2	38.1	32.7	29.1	32.78	17.1	-48%
Microsoft	33.7	31.6	30.4	25.9	32.9	32.0	27.7	28.67	19.3	-33%
Salesforce	24.8	25.4	30.3	23.6	23.0	19.3	20.6	21.89	10.4	-52%
ServiceNow	52.8	56.4	63.9	46.1	56.4	47.8	37.7	46.50	21.0	-55%
Intuit	34.7	31.3	30.8	28.9	34.7	28.8	27.3	27.27	9.5	-65%
Median	34.7	31.6	30.8	28.9	34.7	32.0	27.7	28.7	17.1	-52%

Source: LSEG Datastream, company data, HSBC estimates *Priced on 23 June 2026

Disclosure appendix

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

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For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

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